

Financial Accounting with Tally I

A full-screen lesson file built from the official syllabus PDF. Every module point is expanded into deep theory, exam-oriented explanation, examples, and practical Tally context. The layout is deliberately wide and tall so it does not look cramped on desktop screens.

Programme: Commercial Practice

Semester I

Course Code 1142

Type: Practicum

COURSE SNAPSHOT

Teaching scheme

3:0:2:0

Contact hours

75

Credits

4

CIE / ESE

40 / 100

This file is intentionally detailed. It includes every syllabus point, not just the headline topics.

OFFICIAL SOURCE DECLARATION

Based on the uploaded syllabus PDF only

The lesson file below is built from the PDF content for course 1142. It follows the official module order, subtopics, learning outcomes, practical items, self-learning activities, resources, and evaluation pattern exactly as the syllabus presents them. Nothing was added from outside the PDF as source material.

What changed from the previous version: each syllabus point is now expanded individually. The file is wider, taller, and structurally denser so it fills

the screen better on desktop.

COURSE DASHBOARD

How the syllabus is structured

4

Modules

Accounting basics, ledger and trial balance, subsidiary books, cash book.

75

Contact hours

Structured across lecture and practical components.

40

CIE

Continuous internal evaluation.

100**ESE**

End semester examination.

MODULE 1**Introduction to Financial Accounting with Tally**

This module establishes the language of accounting, the rule system behind double entry, the journal format, and the first practical Tally operations.

9 L + 6 P**CO1****Understand → Apply**

Study rule: Learn the manual accounting logic first, then match it with the Tally action. Do not reverse the order.

What to learn

Every numbered syllabus point under this module.

How to think

Transaction → analysis → record → classify → verify → report.

Exam style

Definitions, procedures, formats, comparisons, and worked examples.

Concept

Understand the meaning and rule

Operation

Manual work and Tally action

Result

Ledger, trial balance, or cash report

Introduction to Financial Accounting with Tally — a wider visual map for revision.

Fundamentals of accounting

Syllabus point: Define accounting and classify various branches of accounting.

Accounting is the systematic process of identifying financial transactions, recording them, classifying them into groups, summarising them, and communicating the result to users. It is broader than bookkeeping, because it does not stop at writing entries; it also includes interpretation and reporting.

The syllabus asks for classification of branches of accounting. In practice, the important branches you should recognise are financial accounting, cost accounting, management accounting, auditing, taxation, and government or sector-specific accounting. The point is not to memorise names blindly, but to know why each branch exists.

Financial accounting looks outward to owners, creditors, banks, and other external users. That distinction matters later when you compare financial accounting with management-oriented reports.

Malayalam support: Accounting എന്ന് പറയുന്നത് transactions എഴുതി വെക്കുന്നത് മാത്രം അല്ല. അവയെ group ചെയ്ത് summarize ചെയ്ത് ശരിയായ ആളുകൾക്ക് report ചെയ്യുന്നതാണ്. Bookkeeping recording part ആണ്; accounting അതിനെക്കാൾ വലുതാണ്.

Example: Example: If a business buys goods for cash, the transaction must be identified first, then recorded, then classified into purchase and cash accounts, and finally reflected in reports.

Common mistake: Common mistake: treating bookkeeping and accounting as the same thing. That is wrong. Bookkeeping is only one part of accounting.

Fundamentals of financial accounting

Syllabus point: State the advantages and limitations of financial accounting and explain important accounting terms.

Financial accounting is designed to record and present the financial performance and financial position of a business for a particular period. It shows profit or loss, assets, liabilities, and capital through formal statements.

Its advantages are practical: it provides a permanent record, helps determine profit, supports legal and tax compliance, gives information to outsiders, and helps compare one period with another when the same rules are followed.

Its limitations are equally important. It is historical, it may ignore non-monetary factors, it depends on accounting policies and estimates, and it cannot fully reflect the real market value of all resources. So the output is useful, but not perfect.

Important terms from this part include transaction, asset, liability, capital, expense, income, debtor, creditor, drawings, purchases, sales, loss, gain, and balance.

Malayalam support: Financial accounting past transactions മാത്രം capture ചെയ്യുന്നു. Future, market value, staff quality പോലുള്ള കാര്യങ്ങൾ ഇതിൽ മുഴുവൻ കാണില്ല. അതിനാൽ financial statements useful ആണ്, but not the whole truth.

Example: Example: A machine purchased five years ago may be shown at book value, not current market value. That is why financial accounting has limits.

Common mistake: Common mistake: assuming the balance sheet shows the exact current market worth of the business. It usually does not.

Accounting concepts, principles, and conventions

Syllabus point: Describe the important accounting concepts, principles, and conventions.

This part is the discipline of accounting. The syllabus expects you to know the basic framework used in financial accounting.

Core concepts include business entity, money measurement, dual aspect, going concern, accounting period, cost concept, accrual, and matching. These concepts tell us what can be recorded, when it should be recorded, and how it should be presented.

Core principles and conventions include consistency, prudence or conservatism, materiality, full disclosure, and objectivity. These are practical rules that prevent arbitrary reporting.

The real point is simple: accounts must be comparable, reliable, and understandable. Without these rules, two accountants could report the same business in completely different ways and both could claim to be right.

Malayalam support: Concepts, principles, conventions എന്നിവ accounting-ന്റെ നിയമങ്ങൾ പോലെയാണ്. ഇവ ഇല്ലെങ്കിൽ accounts-ന് ആയിപ്പോകും. ഒരു business-ന് ഒരു rule set ഉപയോഗിക്കണം.

Example: Example: Under the accrual concept, income earned during a period is recorded even if the cash is received later.

Common mistake: Common mistake: mixing up concepts and conventions. Concepts are the basic assumptions; conventions are the accepted practices used in reporting.

Bases of accounting and classification of accounts

Syllabus point: State the concept of debit and credit and the accounting equation; classify various accounts.

The accounting equation is $\text{Assets} = \text{Liabilities} + \text{Capital}$. Every valid transaction keeps this equation balanced.

Debit and credit are not meaning 'increase' or 'decrease' in a universal sense. Their effect depends on the type of account. That is why beginners get confused if they learn debit and credit as random rules instead of structured logic.

Accounts are commonly classified into personal, real, and nominal accounts. Personal accounts relate to persons and organisations. Real accounts relate to assets and properties. Nominal accounts relate to expenses, losses, incomes, and gains.

Malayalam support: Debit-credit memorize ചെയ്യുന്നത് useless ആണ് if നിങ്ങൾ account type തിരിച്ചറിയുന്നില്ലെങ്കിൽ. ആദ്യം account എന്താണെന്ന് കണ്ടെത്തുക, പിന്നെ rule apply ചെയ്യുക.

Example: Example: If cash is received from a customer, cash account increases and customer account decreases or is settled, depending on the transaction structure.

Common mistake: Common mistake: trying to debit or credit without identifying the account class.

Rules of accounting

Syllabus point: Explain the British and American approaches to accounting rules.

The traditional British approach uses three rules: personal account — debit the receiver and credit the giver; real account — debit what comes in and credit what goes out; nominal account — debit all expenses and losses and credit all incomes and gains.

The American approach is based on account nature and balance direction, but the practical learning outcome in this syllabus is the same: choose the correct side using the nature of the account and the transaction.

In examination work, do not write vague answers. State the rule, then show how it applies to one example.

Malayalam support: British rule എന്നും American rule എന്നും പേരുകൾ വേറെയായാലും core idea same ആണ്: account nature നോക്കി debit/credit decide ചെയ്യുക.

Example: Example: When rent is paid, rent expense is debited because it is a nominal account and expenses are debited.

Common mistake: Common mistake: writing the rule without explaining what the words receiver, giver, in, out, income, and expense mean.

Journalising

Syllabus point: State the meaning of journal, journalising, and narration; prepare journals from different transactions.

The journal is the book of original entry. Transactions are entered there in date order. Each entry normally contains the date, particulars, ledger folio, debit amount, credit amount, and narration.

Journalising is the process of analysing a transaction, identifying the accounts involved, applying debit and credit rules, and writing the entry in standard format.

Narration is a brief explanation below the entry. It is not decoration. It tells the reader what the transaction was and why the entry was made.

The student must not only write entries by memory. The real skill is analysis. If you cannot analyse the transaction, you will write the wrong entry even if you know the format.

Malayalam support: Journal is chronological record. Narration is the small explanation line. അത് optional decoration അല്ല; transaction trace ചെയ്യാൻ അത്യാവശ്യമാണ്.

Example: Example: Goods purchased for cash will affect Purchase Account and Cash Account. The entry is written only after you decide the nature of both accounts.

Common mistake: Common mistake: writing the narration as a full essay or skipping it entirely. Keep it short, factual, and meaningful.

Introduction to Tally and hands-on training

Syllabus point: Demonstrate the creation, selection, alteration, and deletion of a company.

The syllabus explicitly wants company-level operations in Tally before any voucher work. This is a practical foundation step. A user must know how to create the company, choose the correct company, alter company data when required, and delete incorrect company data.

This matters because accounting software is only as accurate as the company setup. Wrong company settings lead to wrong ledgers, wrong vouchers, and wrong reports.

Students should treat company management as a serious administrative task, not a trivial menu exercise.

Malayalam support: Tally-യിൽ company ശരിയായി create ചെയ്യുക first step ആണ്. തെറ്റായ company-യിൽ work ചെയ്താൽ പിന്നീട് എല്ലാം തെറ്റാം.

Example: Example: Creating one company for practice, selecting it before entry, then altering a spelling mistake in the company name.

Common mistake: Common mistake: memorising voucher shortcuts before learning company creation and selection.

Module 1 quick control list

Point	What the student must be able to do
Manual theory	Explain the concepts, rules, and sequence in clear terms.
Manual format	Write the correct layout for journal, ledger, trial balance, day books, or cash book.
Tally operation	Use the correct menu or voucher type to reflect the same accounting logic.
Error check	Identify common mistakes such as wrong side, wrong book, or wrong voucher.

Module summary: This module establishes the language of accounting, the rule system behind double entry, the journal format, and the first practical Tally operations.

Module 1 self-check questions

What is accounting?

Accounting is the systematic process of identifying, recording, classifying, summarising, and communicating financial transactions.

How is financial accounting different from bookkeeping?

Bookkeeping records transactions, while financial accounting also classifies, summarises, and reports them.

Write the accounting equation.

Assets = Liabilities + Capital.

Name the three traditional classes of accounts.

Personal, real, and nominal accounts.

What is narration in a journal?

A short explanation of the transaction written below the journal entry.

MODULE 2

Practical Accounting with Ledger and Trial Balance

This module turns journal entries into ledger accounts and then verifies the arithmetic accuracy through trial balance. The same logic is practiced manually and in Tally.

12 L + 8 P

CO2

Apply

Study rule: Learn the manual accounting logic first, then match it with the Tally action. Do not reverse the order.

What to learn

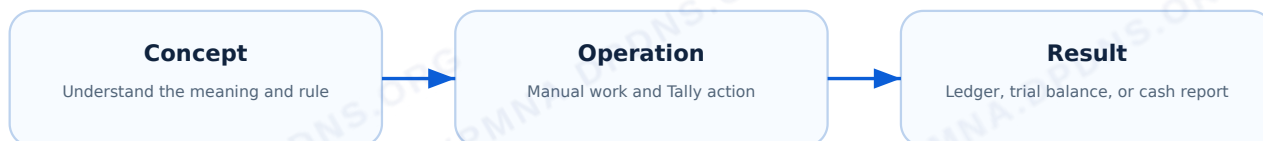
Every numbered syllabus point under this module.

How to think

Transaction → analysis → record → classify → verify → report.

Exam style

Definitions, procedures, formats, comparisons, and worked examples.



Practical Accounting with Ledger and Trial Balance — a wider visual map for revision.

Collection of accounts or ledgers

Syllabus point: State the meaning and types of a ledger.

A ledger is the book of final entry. It is the place where transactions are grouped account-wise after the journal records them in order.

The value of ledger is not in entry order, but in classification. It helps answer questions like how much is owed by a customer, how much cash remains, or how much has been spent on rent.

Types of ledger can be understood in practical terms as general ledger, subsidiary ledger, debtor ledger, and creditor ledger.

Malayalam support: Ledger account-wise record ആണ്. Journal chronological ആയിരിക്കുമ്പോൾ ledger ഒരു account-ന്റെ മുഴുവൻ history ഒരു ഇടത്ത് കാണിക്കുന്നു.

Example: Example: All cash transactions related to the Cash Account are collected there, so the running balance can be seen immediately.

Common mistake: Common mistake: writing ledger entries in date order without grouping them under the proper account.

Preparation of ledger accounts, posting, and balancing

Syllabus point: Prepare ledger accounts, posting, and balancing.

Posting means transferring the debit and credit effects from the journal to the correct ledger accounts.

Balancing means finding the difference between total debits and total credits of an account and carrying the balance forward. If debit exceeds credit, the balance is usually debit balance; if credit exceeds debit, it is credit balance.

Ledger accuracy depends on correct posting, correct reference, and correct side placement. One wrong side can destroy the balance.

Malayalam support: Posting ചെയ്ത ശേഷം balance check ചെയ്യണം. Balance errors വരുമ്പോൾ usually side mistake, omission, or wrong amount കൊണ്ടാണ്.

Example: Example: A ledger for Purchases will collect all purchase transactions, then the total can be compared with sales, cash, and other accounts as needed.

Common mistake: Common mistake: mixing balance c/d and balance b/d placement or forgetting to carry the balance forward.

Trial Balance

Syllabus point: State the meaning and purpose of preparing a trial balance.

A trial balance is a statement prepared from ledger balances to check arithmetical accuracy. It is not a final statement; it is a checking tool.

The purpose is to confirm that total debits equal total credits. It also helps in preparing final accounts and identifying many types of mistakes early.

However, an agreed trial balance does not prove the accounts are completely correct. Some errors, such as omission of entries in both places or compensating mistakes, may still exist.

Malayalam support: Trial balance എന്നത് books ശരിയാണോ എന്ന് check ചെയ്യുന്ന statement ആണ്. പക്ഷേ അത് perfect proof അല്ല.

Example: Example: If debit total and credit total match, the arithmetic posting may be correct, but a wrong account name can still exist.

Common mistake: Common mistake: treating trial balance as final proof of correctness.

Methods of preparing a trial balance

Syllabus point: Classify methods of preparing a trial balance: total method and balance method.

The total method lists total debit and credit of each ledger account.

The balance method lists only the closing balance of each account.

Both methods are valid. The choice depends on the information desired and the format used in class or software.

Malayalam support: Total method-ൽ totals കാണും. Balance method-ൽ closing balance മാത്രം കാണും. രണ്ടും ശരിയാണ്, പക്ഷേ purpose വേറെയാണ്.

Example: Example: A ledgers list with closing balances is shorter and easier for routine checking than a full totals list.

Common mistake: Common mistake: mixing the two methods in one statement without clear labels.

Advantages and limitations of trial balance

Syllabus point: State the advantages and limitations of the trial balance.

Advantages: it checks arithmetic accuracy, helps locate some errors, supports preparation of final accounts, and gives a clear summary of ledger balances.

Limitations: it cannot detect all errors, especially compensating errors, omission from both sides, wrong principle errors, and certain complete reversals that still balance numerically.

This is why the trial balance is an important stage, but not the final authority.

Malayalam support: Trial balance useful ആണ്, പക്ഷേ എല്ലാം detect ചെയ്തില്ല. അതുകൊണ്ട് blind trust ചെയ്യരുത്.

Example: Example: If two wrong postings cancel each other numerically, the trial balance may still tally.

Common mistake: Common mistake: ignoring the limitation part in theory answers.

Preparation of a trial balance from given ledger balances

Syllabus point: Prepare a trial balance from given ledger balances.

In exam work, you must list each ledger balance on the correct side, calculate totals, and see whether the statement agrees.

The practical skill is to know which balances go to debit and which go to credit. Asset and expense balances are generally debit; liability, capital, and income balances are generally credit.

If the totals disagree, the problem is usually in extraction or posting, not in the idea of the trial balance itself.

Malayalam support: Ledger balances ശരിയായ side-ൽ ഇടണം.
Asset/expense സാധാരണ debit side; liability/capital/income credit side.

Example: Example: Cash balance appears on the debit side, while capital appears on the credit side.

Common mistake: Common mistake: adding all balances in one column without considering debit or credit sides.

Ledger creation and voucher entry in Tally

Syllabus point: Demonstrate the preparation of ledgers in Tally, alteration of ledgers, accounting vouchers from various transactions, alteration of vouchers, and display of trial balance.

The syllabus asks for practical Tally work that mirrors manual accounting. Students must create ledgers, alter them when needed, enter transactions using appropriate vouchers, alter voucher entries, and view trial balance.

This is not just software operation. It is accounting logic translated into software. If the logic is wrong, Tally will faithfully produce wrong output.

The ledger master must be named and grouped correctly, because voucher posting depends on that structure.

Malayalam support: Tally is not magic. Ledger setup wrong ആയാൽ voucher entry ശരിയായാലും output തെറ്റാം.

Example: Example: Creating Cash, Sales, Purchases, and Debtors ledgers before entering vouchers for a simple business.

Common mistake: Common mistake: entering vouchers without creating proper ledgers first.

Module 2 quick control list

Point	What the student must be able to do
Manual theory	Explain the concepts, rules, and sequence in clear terms.
Manual format	Write the correct layout for journal, ledger, trial balance, day books, or cash book.
Tally operation	Use the correct menu or voucher type to reflect the same accounting logic.
Error check	Identify common mistakes such as wrong side, wrong book, or wrong voucher.

Module summary: This module turns journal entries into ledger accounts and then verifies the arithmetic accuracy through trial balance. The same logic is practiced manually and in Tally.

Module 2 self-check questions

What is a ledger?

A ledger is the book of final entry where transactions are classified account-wise.

What is posting?

Posting is the transfer of journal entries to the relevant ledger accounts.

Why is trial balance prepared?

To check the arithmetic accuracy of ledger postings and support preparation of final accounts.

Name the two methods of trial balance preparation.

Total method and balance method.

Does a tallied trial balance guarantee correctness?

No. Some errors can still remain even if the totals agree.

MODULE 3

Subsidiary Books and Ledger Posting

This module covers the special journals used to classify repeated transactions, the documents linked to them, and how ledger posting is derived from the day books.

12 L + 8 P

CO3

Remember → Understand → Apply

Study rule: Learn the manual accounting logic first, then match it with the Tally action. Do not reverse the order.

What to learn

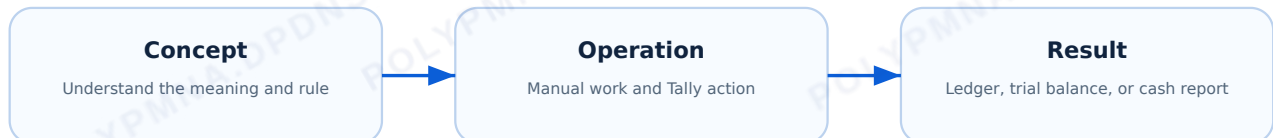
Every numbered syllabus point under this module.

How to think

Transaction → analysis → record → classify → verify → report.

Exam style

Definitions, procedures, formats, comparisons, and worked examples.



Subsidiary Books and Ledger Posting — a wider visual map for revision.

Subsidiary journals and day books

Syllabus point: State the meaning, purpose, and advantages of subsidiary journals; describe various types.

Subsidiary journals are special-purpose books used to record transactions of similar nature separately.

The purpose is speed, control, easier posting, and cleaner records.

The syllabus expects understanding of purchase day book, sales day book, purchase returns book, sales returns book, bills receivable book, bills payable book, and journal proper.

Malayalam support: Same type transactions ഒരു book-ലേക്ക് കൂട്ടി എഴുതുന്നത് recording fast ആക്കും. അതാണ് subsidiary journals.

Example: Example: Credit purchases are not mixed with sales. They go into the purchase day book.

Common mistake: Common mistake: writing all transactions in one journal when the question clearly asks for a subsidiary book.

Purchase Day Book

Syllabus point: Prepare Purchase Day Book.

The purchase day book records credit purchases of goods. It usually does not include cash purchases because those are handled elsewhere.

It helps in tracking suppliers, purchase totals, and periodic posting to ledgers.

In a practical answer, the student should show date, supplier, particulars, invoice reference, and amount.

Malayalam support: Credit purchase മാത്രം purchase day book-ൽ. Cash purchase ഇവിടെ എഴുതില്ല.

Example: Example: Goods bought on credit from a supplier during the period are entered in the purchase day book.

Common mistake: Common mistake: including cash purchases in the purchase day book.

Purchase Returns Book

Syllabus point: Prepare Purchase Returns Book.

Purchase returns occur when purchased goods are sent back to the supplier due to defect, excess, mismatch, or damage.

The return is recorded separately so purchase totals are not distorted.

Debit note is the relevant document in the receiver-side context of the syllabus wording.

Malayalam support: Supplier-ന് goods തിരിച്ച് അയച്ചാൽ അത് purchase returns ആണ്. ഇത് normal purchase column-ിൽ ഇടരുത്.

Example: Example: Damaged goods sent back to the supplier are entered in the purchase returns book.

Common mistake: Common mistake: treating purchase returns as a new purchase.

Sales Day Book

Syllabus point: Prepare Sales Day Book.

The sales day book records credit sales of goods.

Like purchase day book, it creates a neat record for later posting and control.

It excludes ordinary cash sales if the system being followed routes them through cash records or vouchers.

Malayalam support: Credit sale = sales day book. Simple rule. Confusing ഇത് ഒഴിവാക്കുക.

Example: Example: Goods sold on credit to a customer are recorded in the sales day book.

Common mistake: Common mistake: entering cash sales in the sales day book without checking the transaction type.

Sales Returns Book

Syllabus point: Prepare Sales Returns Book.

Sales returns happen when customers return goods sold to them on credit or cash, depending on the business practice.

This book keeps the sales records clean by separating returned goods from original sales.

Credit note is the relevant document in the sender-side context mentioned in the syllabus.

Malayalam support: Customer തിരികെ നൽകുന്ന goods sales returns ആണ്. അത് separate record വേണം.

Example: Example: Returned goods due to damage or wrong size are entered in the sales returns book.

Common mistake: Common mistake: reducing sales directly without a separate return record.

Credit note and debit note

Syllabus point: State the meaning of a credit note and a debit note.

A credit note is a document showing that the recipient of goods or services has been credited because of return, allowance, or adjustment.

A debit note shows that the sender or purchaser is debiting the other side for return or correction, depending on whose books are being maintained.

In exams, the safest answer is to tie the note to the accounting context and the reason for issue.

Malayalam support: Credit note / debit note confusion ഒഴിവാക്കാൻ ആരുടെ books ആണെന്ന് ആദ്യം നോക്കുക.

Example: Example: If a supplier receives returned goods, a debit note may support the supplier-side adjustment.

Common mistake: Common mistake: memorising note names without the business context.

Bills Receivable Book and Bills Payable Book

Syllabus point: Describe the Bills Receivable Book and the Bills Payable Book.

Bills receivable records bills accepted by customers or others in favour of the business.

Bills payable records bills accepted by the business in favour of creditors or suppliers.

These books help with maturity control, cash planning, and later ledger posting.

Malayalam support: Receivable = business-ന് കിട്ടാനുള്ള bill. Payable = business അടയ്ക്കാനുള്ള bill.

Example: Example: A customer accepts a bill promising payment later; that bill is a receivable for the business.

Common mistake: Common mistake: reversing receivable and payable.

Journal Proper

Syllabus point: State the meaning of Journal Proper.

Journal proper is used for entries that do not fit into special journals.

It is commonly used for opening entries, closing entries, transfer entries, adjustment entries, and other miscellaneous transactions.

Because the syllabus mentions it separately, you should be ready to explain why not every transaction belongs to a subsidiary book.

Malayalam support: Special books-ൽ fit ആവാത്ത transaction-കൾക്ക് journal proper ആണ്.

Example: Example: A transfer from one account to another that is not a purchase, sale, or cash transaction may go into journal proper.

Common mistake: Common mistake: forcing every entry into a purchase or sales book.

Preparation of ledgers from day books

Syllabus point: Prepare ledgers from day books.

After entering transactions in subsidiary books, the relevant totals or individual items are posted to the ledger.

This is where the classification work becomes visible. The day books feed the ledgers, and the ledgers feed the trial balance.

In Tally, this structure is often hidden behind vouchers and reports, but the logic is the same.

Malayalam support: Day books input ആണ്; ledger output structure ആണ്. പിന്നെ trial balance verification ആണ്.

Example: Example: Credit sales in the sales day book will eventually increase the appropriate debtor and sales accounts in the ledger.

Common mistake: Common mistake: stopping at the day book stage and forgetting ledger posting.

Tally display of day-book-related accounts

Syllabus point: Demonstrate entry of various vouchers related to day books by creating ledgers; demonstrate debit note, credit note, journal proper, and statement display through voucher entries.

The practical portion expects students to map day-book logic into Tally entries.

That means creating the right ledgers, selecting the correct voucher type, and then displaying accounts and day-book style reports through the entered transactions.

Debit note, credit note, and journal vouchers should not be entered randomly. They must match the transaction purpose.

Malayalam support: Tally-യിൽ voucher type ശരിയായി select ചെയ്യുക ഏറ്റവും important ആണ്. Wrong voucher = wrong report.

Example: Example: Entering a sales return through the correct voucher and then verifying the statement of accounts.

Common mistake: Common mistake: using a payment voucher when the transaction is actually a journal adjustment.

Module 3 quick control list

Point	What the student must be able to do
Manual theory	Explain the concepts, rules, and sequence in clear terms.
Manual format	Write the correct layout for journal, ledger, trial balance, day books, or cash book.
Tally operation	Use the correct menu or voucher type to reflect the same accounting logic.
Error check	Identify common mistakes such as wrong side, wrong book, or wrong voucher.

Module summary: This module covers the special journals used to classify repeated transactions, the documents linked to them, and how ledger posting is derived from the day books.

Module 3 self-check questions

What is a subsidiary journal?

A special journal used to record similar transactions separately.

Which book records credit purchases?

Purchase Day Book.

Which book records credit sales?

Sales Day Book.

What is journal proper used for?

It is used for transactions not suited to the other subsidiary books.

What is a credit note?

A document used when a customer or recipient is credited because of a return or adjustment.

MODULE 4**Cash Book: Types, Preparation, and Tally Accounting**

This module covers the cash book family, petty cash, the imprest system, and the Tally voucher workflow for cash and bank transactions.

12 L + 8 P**CO4****Apply**

Study rule: Learn the manual accounting logic first, then match it with the Tally action. Do not reverse the order.

What to learn

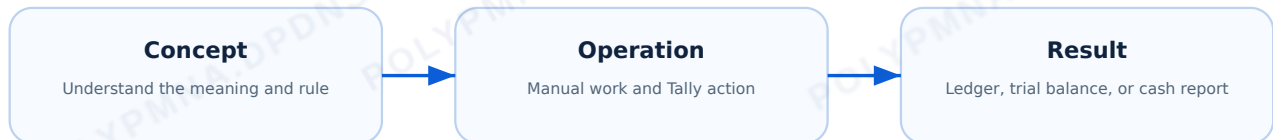
Every numbered syllabus point under this module.

How to think

Transaction → analysis → record → classify → verify → report.

Exam style

Definitions, procedures, formats, comparisons, and worked examples.



Cash Book: Types, Preparation, and Tally Accounting — a wider visual map for revision.

Meaning and types of cash book

Syllabus point: State the meaning and types of cash book.

A cash book is a special record that handles cash and bank transactions. It works like a journal because transactions are entered by date, and it also works like a ledger because balances are maintained.

The syllabus expects the meaning and types: single-column cash book, two-column cash book, three-column cash book, petty cash book, and analytical petty cash book.

Because cash is sensitive, the cash book is one of the most important control records in practical accounting.

Malayalam support: Cash book special ആണ്. ഇത് journal-ന്റെ flow ഉം ledger-ന്റെ balance logic ഉം combine ചെയ്യുന്നു.

Example: Example: Every cash receipt and payment can be tracked quickly through a cash book balance.

Common mistake: Common mistake: calling cash book a normal ledger only. It has a dual nature.

Simple cash book

Syllabus point: Prepare Simple Cash Book.

The simple or single-column cash book records only cash receipts and cash payments.

It is used when the transaction set is simple and there is no need to split out discount or bank entries.

The balance is easy to compute, but the format becomes limited when more complexity appears.

Malayalam support: Cash മാത്രം use ചെയ്യുന്ന transactions-ന് simple cash book enough ആണ്.

Example: Example: Cash sales and cash purchases can be entered in a simple cash book format if the exercise demands it.

Common mistake: Common mistake: putting bank transactions into the single-column format without adjusting the structure.

Two-column and three-column cash book

Syllabus point: Prepare Two-column Cash Book with discount column; prepare Three-column Cash Book with cash, bank, and discount.

The two-column cash book includes cash and discount. The discount column improves clarity for cases where discount is given or received.

The three-column cash book adds the bank column. This is more realistic for businesses that handle both cash and banking transactions.

The syllabus also explicitly mentions enabling discount in F11 features in Tally for the two-column exercise.

Malayalam support: Two-column cash book-രൂപ ക്യാഷ് + ഡിസ്കൗണ്ട്. Three-column cash book-രൂപ ക്യാഷ് + ബാങ്ക് + ഡിസ്കൗണ്ട്.

Example: Example: A customer pays cash and receives a discount, or a payment is made by bank with discount involved.

Common mistake: Common mistake: forgetting to separate discount from cash or bank amounts.

Petty Cash Book and Imprest System

Syllabus point: Prepare petty cash book under the imprest system and the analytical petty cash book.

Petty cash is used for small recurring expenses such as postage, stationery, conveyance, cleaning, and similar minor items.

The imprest system gives a fixed amount to the petty cashier. When expenses are spent, the amount is replenished back to the fixed level. This keeps control tight.

The analytical petty cash book classifies petty expenses into separate columns, making analysis easier.

Malayalam support: പെറ്റി cash ചെറിയ ചെലവുകൾക്ക്. imprest system-ൽ fixed amount നിലനിർത്തി പിന്നീട് refill ചെയ്യും.

Example: Example: A fixed petty cash float is used through the month and then reimbursed after the vouchers are checked.

Common mistake: Common mistake: recording tiny expenses in the main cash book and making the book messy.

Preparation of ledgers from cash books

Syllabus point: Prepare ledgers from cash books.

Even though a cash book records cash and bank transactions, some ledger linking is still needed in accounting systems.

Students should understand how cash book balances and postings relate to ledger control.

The important exam point is to show that the cash book is part of the ledger system, not separate from it.

Malayalam support: Cash book ledger system-ന്റെ ഭാഗമാണ്. അതിനെ isolated book ആയി കാണരുത്.

Example: Example: Cash balance is reflected in the ledger-side understanding of the business position.

Common mistake: Common mistake: forgetting that the cash book also supports ledger control.

Tally cash and bank vouchers

Syllabus point: Demonstrate the recording of cash receipts and cash payments using Receipt Voucher (F6), Payment Voucher (F5), and Contra Voucher (F4); demonstrate two-column cash book and three-column cash book entries.

The syllabus names the voucher shortcuts directly, so you must know them accurately.

Receipt Voucher (F6) records money received. Payment Voucher (F5) records money paid. Contra Voucher (F4) is used for cash-to-bank or bank-to-cash type transfers.

For the two-column cash book work, discount handling must be enabled through the feature setting mentioned in the syllabus.

Malayalam support: F6 = receipt, F5 = payment, F4 = contra. ഇവ directly syllabus-ൽ പറഞ്ഞിരിക്കുന്നത് കൊണ്ട് exam-ൽ carefully use ചെയ്യണം.

Example: Example: Money received from a customer by cash is entered in a receipt voucher; money paid for expenses is entered in a payment voucher.

Common mistake: Common mistake: using the wrong voucher just because the amount is cash.

Module 4 quick control list

Point	What the student must be able to do
Manual theory	Explain the concepts, rules, and sequence in clear terms.
Manual format	Write the correct layout for journal, ledger, trial balance, day books, or cash book.
Tally operation	Use the correct menu or voucher type to reflect the same accounting logic.
Error check	Identify common mistakes such as wrong side, wrong book, or wrong voucher.

Module summary: This module covers the cash book family, petty cash, the imprest system, and the Tally voucher workflow for cash and bank transactions.

Module 4 self-check questions

What is a cash book?

A book used for recording cash and bank transactions that functions like both a journal and a ledger.

What is the imprest system?

A fixed petty cash fund is given and then replenished after the expenses are spent.

Which voucher is used for receipt in Tally?

Receipt Voucher (F6).

Which voucher is used for payment in Tally?

Payment Voucher (F5).

Which voucher is used for cash and bank transfers?

Contra Voucher (F4).

ASSESSMENT**What the syllabus expects in evaluation****Practical assessment**

The syllabus lists attendance, continuous evaluation, practical tests, series exams, written exam, and lab examination as part of the practicum assessment structure.

That means the student is judged on both regular work and final performance, not only on a single exam day.

Practical test focus

Preparation, practical execution, accuracy of work, viva voce, and record completion are the categories used in the practical evaluation scheme.

Students should therefore maintain neat records and be able to explain why every entry was made.

Assessment points from the syllabus

Item	Details
CA / ESE structure	Continuous internal evaluation and end semester examination are both part of the course.
Series pattern	The syllabus gives a theory series structure across modules.
Lab / practical	Students are tested on actual accounting and Tally execution, not only written explanation.

MODULE-WISE QUESTIONS

Revision questions with direct answers

Module 1

What is accounting?

Accounting is the systematic process of identifying, recording, classifying, summarising, and communicating financial transactions.

How is financial accounting different from bookkeeping?

Bookkeeping records transactions, while financial accounting also classifies, summarises, and reports them.

Write the accounting equation.

$\text{Assets} = \text{Liabilities} + \text{Capital}.$

Name the three traditional classes of accounts.

Personal, real, and nominal accounts.

What is narration in a journal?

A short explanation of the transaction written below the journal entry.

Module 2**What is a ledger?**

A ledger is the book of final entry where transactions are classified account-wise.

What is posting?

Posting is the transfer of journal entries to the relevant ledger accounts.

Why is trial balance prepared?

To check the arithmetic accuracy of ledger postings and support preparation of final accounts.

Name the two methods of trial balance preparation.

Total method and balance method.

Does a tallied trial balance guarantee correctness?

No. Some errors can still remain even if the totals agree.

Module 3**What is a subsidiary journal?**

A special journal used to record similar transactions separately.

Which book records credit purchases?

Purchase Day Book.

Which book records credit sales?

Sales Day Book.

What is journal proper used for?

It is used for transactions not suited to the other subsidiary books.

What is a credit note?

A document used when a customer or recipient is credited because of a return or adjustment.

Module 4

What is a cash book?

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Payment Voucher (F5).

Which voucher is used for cash and bank transfers?

Contra Voucher (F4).

PRACTICE MODEL PAPER

Based on the official pattern, not an official paper

Note: This is a study paper created from the syllabus pattern and module coverage. It is not an official question paper.

Part A — 1 mark

Short definitions and factual questions from all four modules.

Part B — 3 marks

Explain concepts, differences, methods, and practical use cases.

Part C — 7 marks

Full procedure-style answers, formats, and worked accounting logic.

Answer rule

Use the exact format, show the method, and write the explanation in steps.

1. Define accounting and explain any two branches of accounting.
2. Explain accounting concepts, principles, and conventions.
3. Explain the rules of accounting under the British approach.
4. Prepare journal entries for simple business transactions.
5. Explain ledger posting and balancing.
6. Explain trial balance, its methods, advantages, and limitations.
7. Explain subsidiary journals and prepare a purchase day book or sales day book.
8. Explain the cash book system, petty cash book, and Tally voucher shortcuts.

QUICK REVISION

One-screen memory guide

Module 1

Accounting, financial accounting, GAAP, account classes, debit-credit rules, journalising, Tally company work.

Module 2

Ledger, posting, balancing, trial balance, total method, balance method, Tally vouchers.

Module 3

Purchase and sales day books, returns books, bills books, journal proper, ledger from day books.

Module 4

Cash book types, petty cash, analytical petty cash, imprest system, F4/F5/F6 vouchers.

Do not make this mistake: ledger is not the same as trial balance, and day books are not the same as cash book. Each one has a different accounting job.

GLOSSARY

Important terms

Quick meanings

Term	Meaning
Accounting	The process of identifying, recording, classifying, summarising, and communicating financial information.
Journal	Book of original entry in chronological order.
Ledger	Book of final entry, account-wise.
Trial balance	Statement used to test arithmetic accuracy of ledger balances.
Subsidiary journal	Special journal for a specific class of transactions.
Cash book	Book for cash and bank transactions with journal and ledger features.
Imprest system	Fixed petty cash fund replenished after spending.

REFERENCES

Learning resources listed in the syllabus

Textbooks and web resources from the PDF

Type	Resource
Textbook	Double Entry Bookkeeping — T S Grewal — Sultanchand, New Delhi.
Textbook	Elements of Bookkeeping — M C K Nambiar — Kamalalayam, Kannur.
Textbook	Official guide to Financial accounting - Tally ERP 9 with GST — Tally Education Private Limited — BPB Publications.
Reference	Financial Accounting — Dr S M Shukla — Sahitya Bhavan Publications.
Reference	Financial Accounting — Bhushan Kumar Goyal — Taxmann's Publications.
Reference	Tally. ERP 9 with GST — DT Editorial Services — Dreamtech Press Publications.
Web	principlesofaccounting.com — Modules I & II
Web	tallyelearning.com — All modules
Web	accountingcoach.com — All modules